

CHAPTER 07

ECONOMIC PLANNING AND DEVELOPMENT



SHORT ANSWERS

ECONOMIC PLANNING IN PAKISTAN**Meaning of Economic Planning:**

There is no universally accepted definition of economic planning. However, according to Prof. H.D. Dickinson:

“Economic planning is the process of making key economic decisions such as what and how much to produce, and how to distribute it, based on a detailed assessment of the overall economy by a central authority.”

Economic Planning in Pakistan:

When Pakistan gained independence in 1947, its economy was extremely weak. India created many obstacles to hinder Pakistan's economic progress. Despite this, the Pakistani government worked hard to establish economic planning institutions.

Historical Periods of Economic Planning:

1. Economic Coordination Period (1947–1953): Basic economic organization.
2. Planning Board Period (1953–1958): Formal planning began.
3. Planning Commission Period (1958–1968): First structured five-year plans.
4. Decline of Planning Commission (1968–1977): Political instability hindered planning.
5. Revival Period (1978–1988): Planning became active again.
6. Transitional Period (1988–1998): Shift towards liberalization.
7. Restructuring Period (1999–2008): Economic reforms and privatization.

FIVE-YEAR PLANS OF PAKISTAN**Fifth Five-Year Plan (1978–1983):**

- Focused on economic stability and poverty reduction.

• Challenges included:

- High defense spending due to Afghan war.
- Oil price hike (1979–80).
- Refugee crisis.

• Some goals achieved:

- Liberalized industrial control.
- Controlled balance of payments deficit.
- Food self-sufficiency (except edible oil).

• Failures:

- Weak rural infrastructure.
- Lack of private industrial investment.

Sixth Five-Year Plan (1983–1988):

- Shift towards private sector involvement.

• Addressed:

- Low investment/saving.
- Low farm productivity.
- Dependency on imported energy.
- Poor spending on health/education.
- Targeted 6.5% growth—achieved despite 1986–87 droughts.

Seventh Five-Year Plan (1988–1993):**• Rs350 billion in public-sector spending:**

- 36.5% Energy
- 18% Transport & Communication
- 9% Water
- 7% Education
- 5% Industry
- 4% Health

• Encouraged private sector:

- Rs292 billion planned private investment.
- Private-public investment ratio aimed to rise from 42:58 to 48:52.

Eighth Five-Year Plan (1993–1998):

- A working group of businessmen, officials, and economists gave recommendations.
- Plan delayed due to political changes.
- Interim policies used in 1994.
- **New Name Introduced:** In 2004, Five-Year Plan was renamed as Medium Term Development Framework (MTDF).
- MTDF 2005–2010 was developed by 30 working groups.

AGRICULTURE IN PAKISTAN**Introduction:**

- Pakistan is an agricultural country.
- 70% population lives in villages.
- Over 50% people rely on farming or agriculture-related jobs.
- Agriculture contributes 26% to GDP.
- Major agricultural areas: Punjab and Sindh.

Major Crops:

Pakistan has two cropping seasons:

- 1. Rabi Crops (Winter):** Sown in Oct–Nov, harvested in Apr–May. → Wheat, Gram, Oilseeds
- 2. Kharif Crops (Summer):** Sown in May–June, harvested in Oct–Nov. → Rice, Sugarcane, Cotton

Main Crops of Pakistan:

- **Food Crops:** Wheat, Rice, Maize, Barley, Gram, Pulses
- **Cash Crops:** Cotton, Sugarcane, Tobacco, Mustard, Oilseeds
- Fruits and Vegetables

AGRICULTURAL DEVELOPMENT & LAND REFORMS**Land Reforms:**

- Introduced in 1959, 1972, 1977.
- **Goals:**
 - Limit large landholdings.
 - Strengthen tenant farmers.
 - Improve per acre yield.
 - Reduce rural poverty.

Agricultural Development Efforts:

- Improved research for high-yield seeds.
- Farmer education and technical guidance.
- Agriculture universities in Faisalabad and Jamshoro.
- Better roads and communication.
- Immediate payments for farmer produce.

PROBLEMS IN AGRICULTURE

1. Outdated farming methods → Low yield
2. Water logging & salinity
3. Crop diseases & low-quality inputs
4. Water issues (shortages & floods)
5. Unclean canals reduce irrigation
6. Lack of credit for farmers
7. Poor market access
8. Unfair prices for crops

FOOD CROPS – PRODUCTION & CONTRIBUTION**1. Wheat:**

- Main food crop.
- 23.52 million tons output (2006–07).
- 14.4% of agricultural value-added.

2. Rice:

- Second largest food crop.
- Major export item (6.1% of export earnings).
- 1.2% of GDP.

3. Maize:

- Food crop and raw material for oil, starch, poultry feed.
- Area doubled since 1947.

4. Barley:

- Dry-area crop.
- Coarse grain grown in 93,000 hectares (2006–07).

CASH CROPS – DETAILS**1. Cotton:**

- Top cash crop.
- Main foreign exchange earner.
- 13 million bales production.

2. Sugarcane:

- For sugar and 'gur'.
- 3.5% share in agriculture value, 0.7% in GDP.

3. Tobacco:

- **Area:** 62,000 hectares;
- **Production:** 126,000 tons (2006–07).

4. Oil Seeds:

- Rape, mustard, sunflower, soybean.
- Domestic production meets only 32% of edible oil needs; 68% imported.

INDUSTRIAL DEVELOPMENT IN PAKISTAN**History:**

- Inherited only 4% of India's industries at independence.
- Initial industries: sugar, oil, cement, cigarettes, matches, glass, steel.

Early Priorities:

- Use of local raw materials.
- Focus on consumer goods.
- Encourage private sector.
- **State involvement for:**
 - Financial support
 - Tax incentives
 - Protective tariffs
- Training & research support.
- Industrial Development Board formed in 1948.
- 1955, 1960, and 1965–70 plans promoted industrial growth.

RURAL VS URBAN SOCIETY IN PAKISTAN

Rural Society	Urban Society
Simple life, traditional lifestyle	Complex and fast-paced life
Equal social status among people	Mixed status due to diversity
Limited job choices	High occupational mobility
Strong family system	Family role is weaker
Slow change, low adaptability	Rapid change, high adaptability
Strong cultural values	Culture is mixed or diluted
No division of labor	Specialized jobs and labor division
Women had low status	Women have higher status and freedom
Religious and nature-loving society	Materialistic and fast-moving society
Fewer employment opportunities	More job and business options available

DESCRIPTIVE ANSWERS**Agriculture in Pakistan**

Pakistan is primarily an agricultural country, and more than 70% of its population resides in rural areas. A significant portion of the people—over 50%—are directly or indirectly involved in farming and agro-based activities. The agriculture sector contributes around 26% to the Gross Domestic Product (GDP), making it one of the most important sectors of the national economy.

The plains of Punjab and Sindh are highly fertile and are extensively used for farming, benefiting from an extensive irrigation system.

Pakistan experiences two major cropping seasons:

- Rabi Season: Crops are sown in October–November and harvested by April–May. Key Rabi crops include wheat, gram, and oil seeds.
 - Kharif Season: Crops are sown in May–June and harvested by October–November. Important crops for this season are rice, sugarcane, and cotton.
- In addition to these, Pakistan also grows a wide variety of other crops, including:
- Maize

- Mustard
- Tobacco
- Fruits and vegetables
- Oil seeds

Land Reforms in Pakistan

Land reforms have been introduced at different times to address land inequality and support agricultural productivity. Major reforms were carried out in 1959, 1972, and 1977. The goals were to:

- Reduce large landholdings
- Strengthen the position of tenant farmers
- Improve yield per acre
- Alleviate rural poverty

Major Problems in Agriculture

Despite its importance, agriculture in Pakistan faces numerous challenges:

- Outdated cultivation techniques result in low per-acre yields.
- Water logging and salinity have damaged large tracts of farmland.
- Crop diseases are widespread. Though the Agriculture Department provides technical support, the issue remains serious.
- Poor quality seeds and inputs, expensive fertilizers, and unreliable electricity or fuel for tube wells affect productivity.
- Inconsistent water supply—sometimes there's too little water, other times it's too much.
- Canal maintenance is lacking, affecting water distribution.
- Limited access to credit and lack of modern financial services hinders investment in agriculture.
- Poor market access makes it difficult for farmers to sell their produce.
- Unfair pricing mechanisms prevent farmers from getting good returns on their crops.

Agriculture in Development Plans

To address these problems, the government has undertaken several development initiatives:

- Research and development are being promoted for high-yield seed varieties.
- Agricultural extension services guide farmers on using modern farming techniques.
- Universities and agricultural colleges (notably in Faisalabad and Jamshoro) are promoting technical education in agriculture.
- Better transport and communication infrastructure is being developed to link rural areas with urban markets.
- The government ensures prompt payments to farmers for their crops to boost confidence in the system.

Industrial Development in Pakistan

Industrialization plays a critical role in national development. It is considered the backbone of economic growth and modernization. A strong industrial base not only boosts the domestic economy but also enhances a country's standing at the international level. It enables a state to:

- Reduce dependency on imports
- Improve exports

- Create employment
- Support agriculture by processing agricultural goods into finished products
- Improve defense capabilities through the production of arms and military equipment

Historical Background

At the time of independence in 1947, Pakistan inherited only 4% of the industrial base of united India. The few industries that existed were sugar mills, cigarette factories, cement units, and glass manufacturing plants. The country had to start from scratch to meet the needs of a growing population.

Institutional Support

To boost industrialization, various institutions were created:

- Pakistan Industrial Development Corporation (PIDC) was established in 1950 to promote industries unattractive to private investors.
- Industrial Development Bank of Pakistan (IDBP) was formed in 1961 to offer low interest loans to small and medium-scale industries.
- PICIC (Pak Industrial Credit and Investment Corporation) provided both local and foreign exchange loans.
- Investment Promotion Bureau (1955) supported both local and foreign investors.
- Other institutions like ICP, NDFC, and NIT also played supportive roles.
- Pakistan received technical and financial support from international organizations like the World Bank, IMF, and Colombo Plan.

Nationalization and Privatization

- In the 1970s, the government under the PPP nationalized major industries to increase state control.
- However, this resulted in inefficiencies and capital flight.
- Since the 1990s, Pakistan adopted a privatization policy, encouraging foreign investment, private entrepreneurship, and free market economy.

Major Industries

- **Textile Industry:** The backbone of Pakistan's industry; centers include Faisalabad, Multan, Lahore, and Karachi.
- **Sugar Industry:** Located mostly in Sindh and Punjab, it has seen major growth.
- **Cement Industry:** Major sites include Dandot, Dadu Khel, Wah, Rori, and Karachi.
- **Vegetable Ghee and Oil Industry:** Around 60 units in Punjab, Sindh, and KPK make Pakistan largely self-sufficient.
- **Steel and Iron:** Pakistan Steel Mills (Karachi) was built with Soviet help, but faces raw material issues.
- **Paper Industry:** Developed post-1971 in places like Noshera, Charsada, Gujranwala, and Lahore.
- **Heavy Mechanical Complex (HMC):** Located in Taxila, produces industrial machinery.
- **Defense Industry:** Includes War Ordnance Complex, Kamra Aircraft Factory, and tank rebuild facilities.
- **Other Industries:** Include fertilizers, oil refineries, tobacco, car and tractor assembly, shipbuilding at Karachi Shipyard, and ship breaking.
- **Cottage Industries:** Small-scale industries that produce handicrafts, embroidery, carpets, and garments.

Future Prospects

Industrial growth is necessary for Pakistan's sustainable development. To attract investment and expand industrial output, Pakistan needs:

- Political and economic stability
- Modern infrastructure
- Low-interest loans
- Anti-corruption measures
- Investor security

Education in Pakistan

Education is the foundation of national progress. It enhances the quality of life and empowers people to break the cycle of poverty. Robert Maynard Hutchins emphasized that education should prepare individuals for lifelong learning. Edward Everett noted that it is a better guardian of liberty than a standing army.

Structure of the Education System

Education in Pakistan is divided into multiple levels:

1. Primary Education:

- Ages 5 to 10
- 5 years of schooling
- Offered at primary schools

2. Middle Education:

- Ages 10 to 13
- 3 years of schooling
- Offered at middle schools

3. Secondary Education (Matriculation):

- Ages 13 to 15
- 2 years
- Leads to Secondary School Certificate (SSC)
- Students choose either Science or Arts streams

4. Technical Secondary Education:

- Ages 15 to 17
- Focused on technical and vocational subjects
- Leads to SSC (Technical)

5. Higher Secondary Education:

- Ages 15 to 17
- 2 years of study at intermediate colleges
- Results in Higher Secondary School Certificate (HSSC)

6. Higher Education:

- Offered by universities and professional institutions
- Governed by academic councils and syndicates
- Supported by the University Grants Commission (UGC), which:
 - Funds development schemes
 - Encourages research programs
 - Offers pre-service and in-service teacher training
 - Supports Centers of Excellence and Area Study Centers